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SITUATIONAL ORDER FLOW

"Why be a sheep in the markets when you can be a wolf and track order flow?"

Module 8 – Keeping Risk At Bay.

Situational Order Flow

Disclaimer

This course is for educational and informational purposes only and should not be considered a solicitation to buy or sell a futures contract or make any other type of investment decision. Futures trading contains substantial risk and is not for every investor. An investor could potentially lose all or more than the initial investment. Risk capital is money that can be lost without jeopardizing one's financial security or lifestyle. Only risk capital should be used for trading and only those with sufficient risk capital should consider trading. Past performance is not necessarily indicative of future results.

CFTC Rules 4.41 - Hypothetical or Simulated performance results have certain limitations, unlike an actual performance record, simulated results do not represent actual trading. Also, since the trades have not been executed, the results may have under-or-over compensated for the impact, if any, of certain market factors, such as lack of liquidity. Simulated trading programs in general are also subject to the fact that they are designed with the benefit of hindsight. No representation is being made that any account will or is likely to achieve profit or losses similar to those shown.

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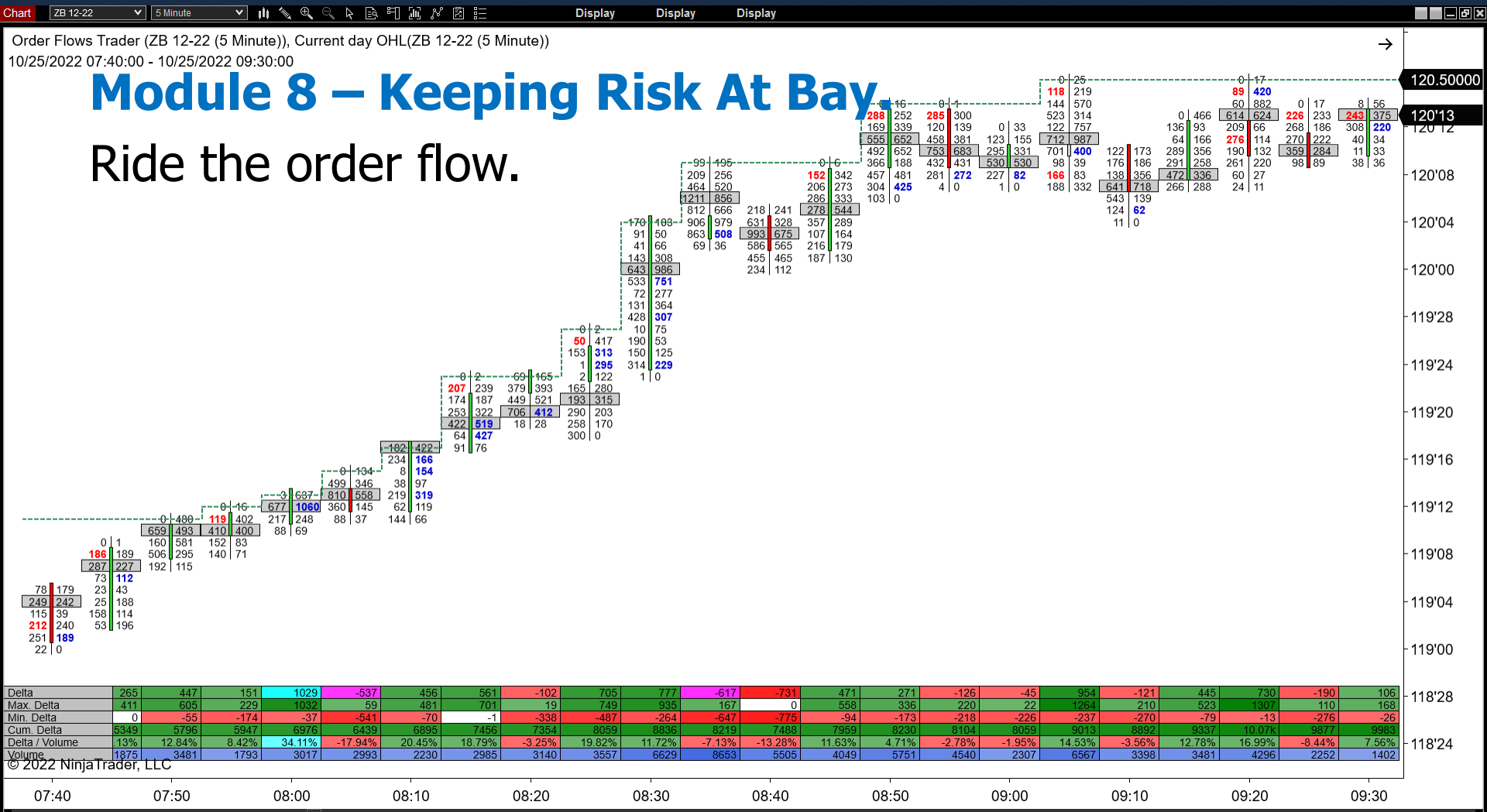
Module 8 – Keeping Risk At Bay.

Many traders get caught up in finding the perfect trade opportunity, and as a result, they spend hours, if not days, looking for a set-up that meets all their criteria. However, what they often fail to realize is that even if they find the perfect trade, there is no guarantee that it will result in a profit. In fact, many of your trades will not be profitable, no matter how well they are executed. Therefore, it is important to focus on risk management first and foremost. By controlling your risk, you can limit your losses and ensure that you are still able to profit in the long run, even if most of your individual trades are losers. While it may seem like a tedious process, spending the time to properly manage your risk will pay off in the end.

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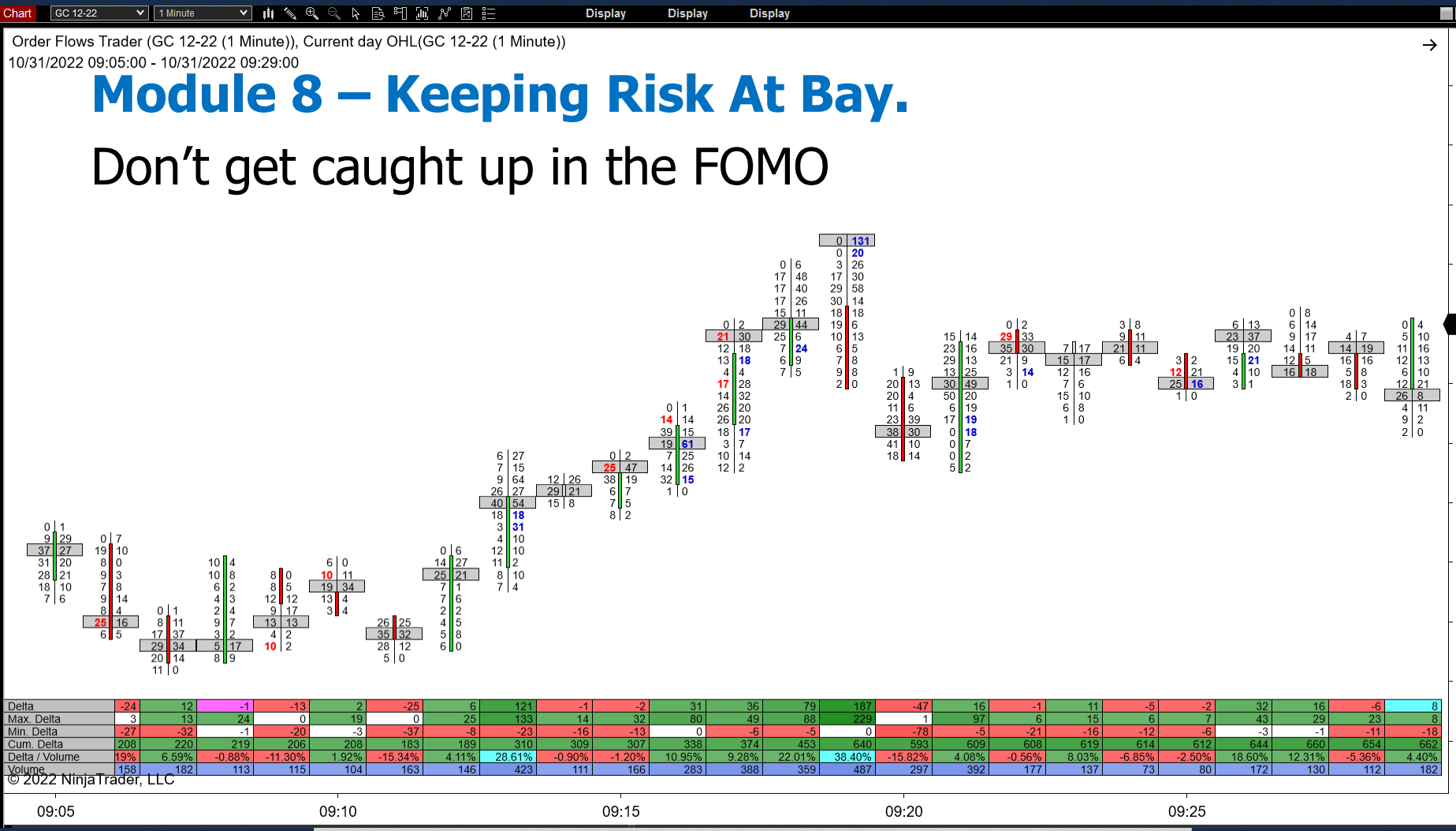


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One of the most important things that you can do is to control risk. This means having a solid plan in place for how much you are willing to lose on any given trade. It also means knowing when to cut your losses and move on. A lot of traders get caught up in the excitement of the market and let their emotions take over. This can lead to them making impulsive decisions that end up costing them money. By controlling risk, you will be able to stay calm and focused, which will ultimately lead to more successful trades.

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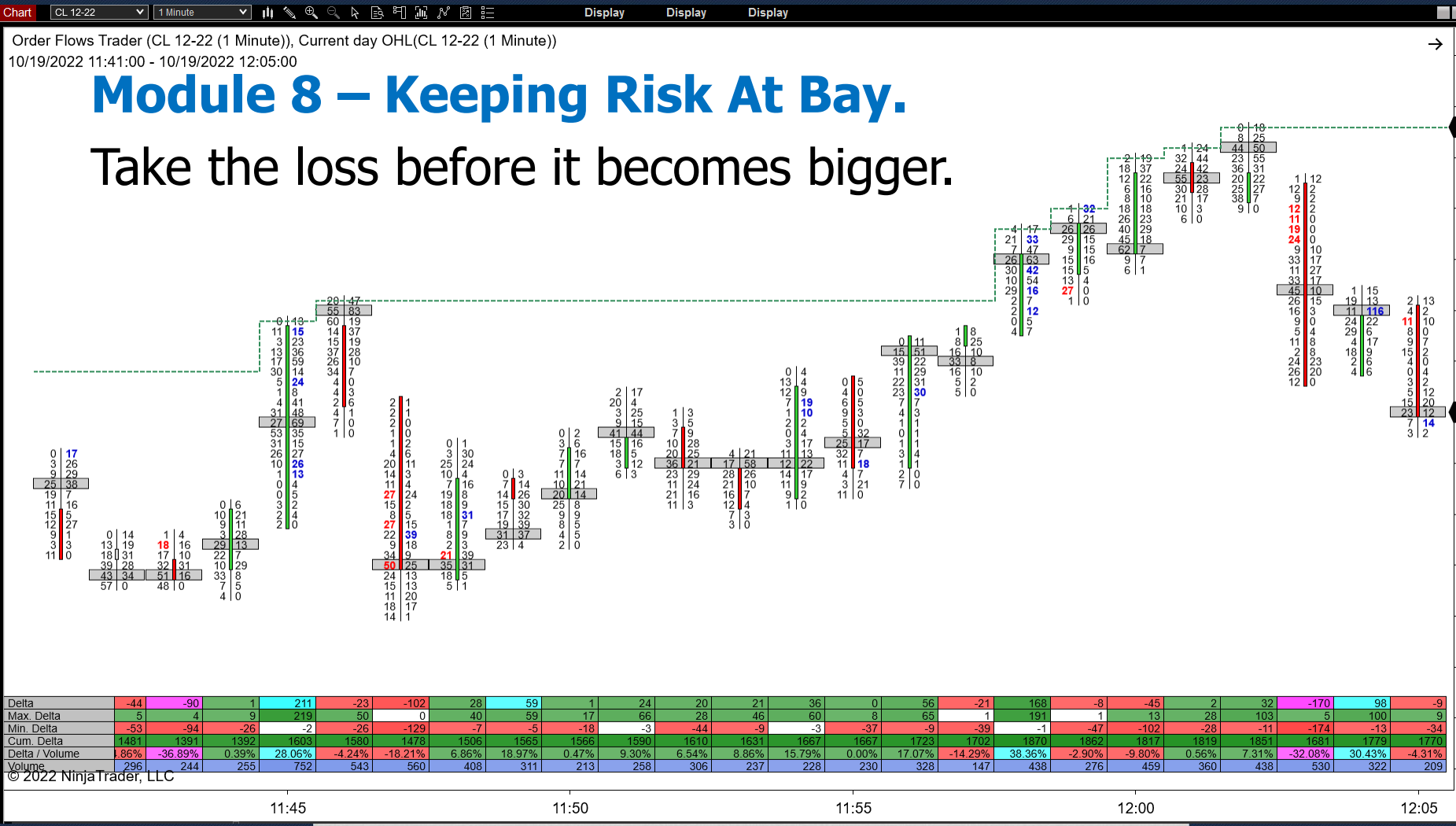
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I have been trading for many years and have developed an approach that works well for me. Before I enter any trade, I identify the stop and target. This allows me to assess the risk-reward ratio. I believe it is important to identify the stop position before looking at risk. This ensures that the stop is set in accordance with whatever rules for managing the trade are being used. It also allows me to take into account what is seen on the chart in terms of support or resistance or other relevant information. By doing this, I can set the stop to allow a particular position size to be taken.

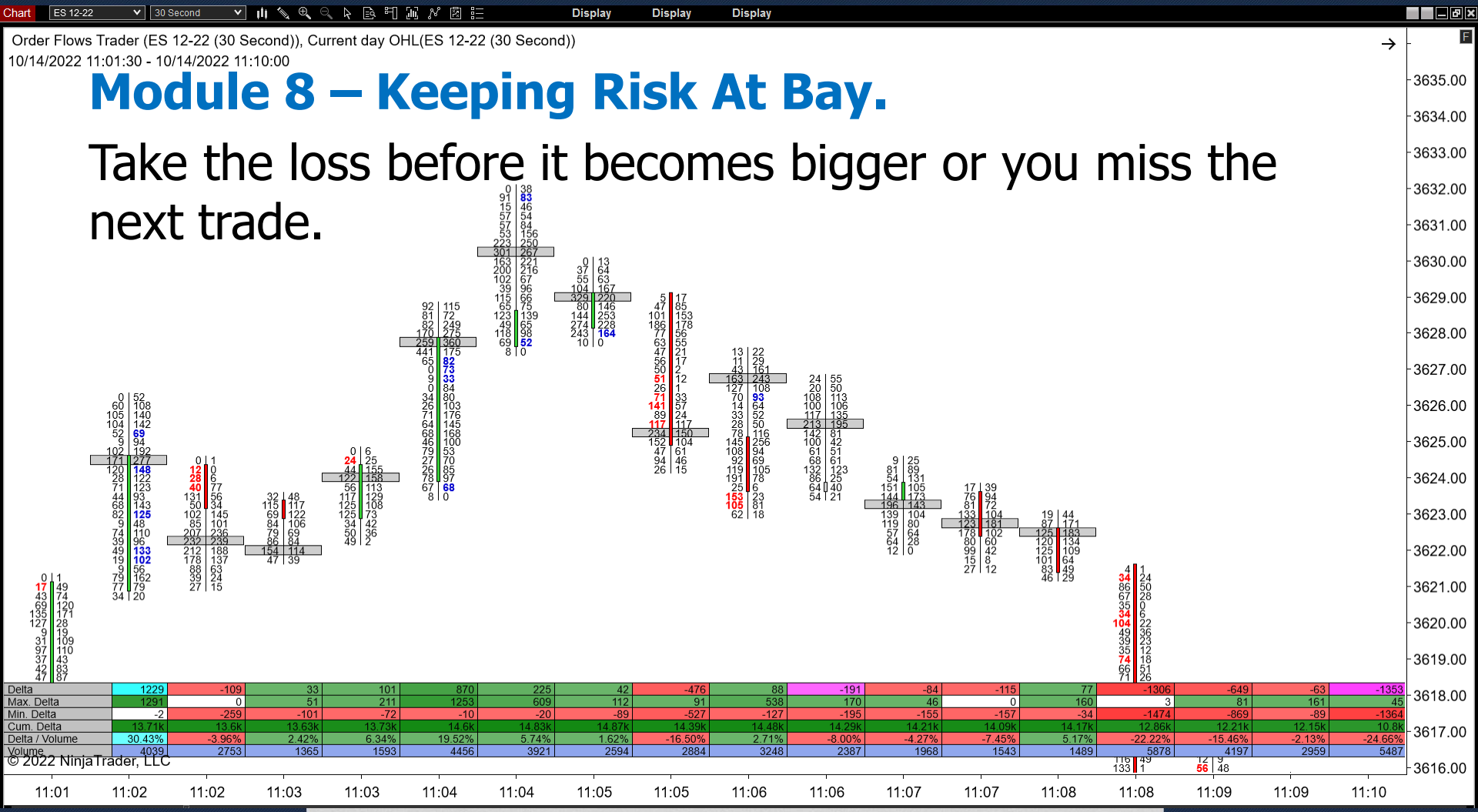
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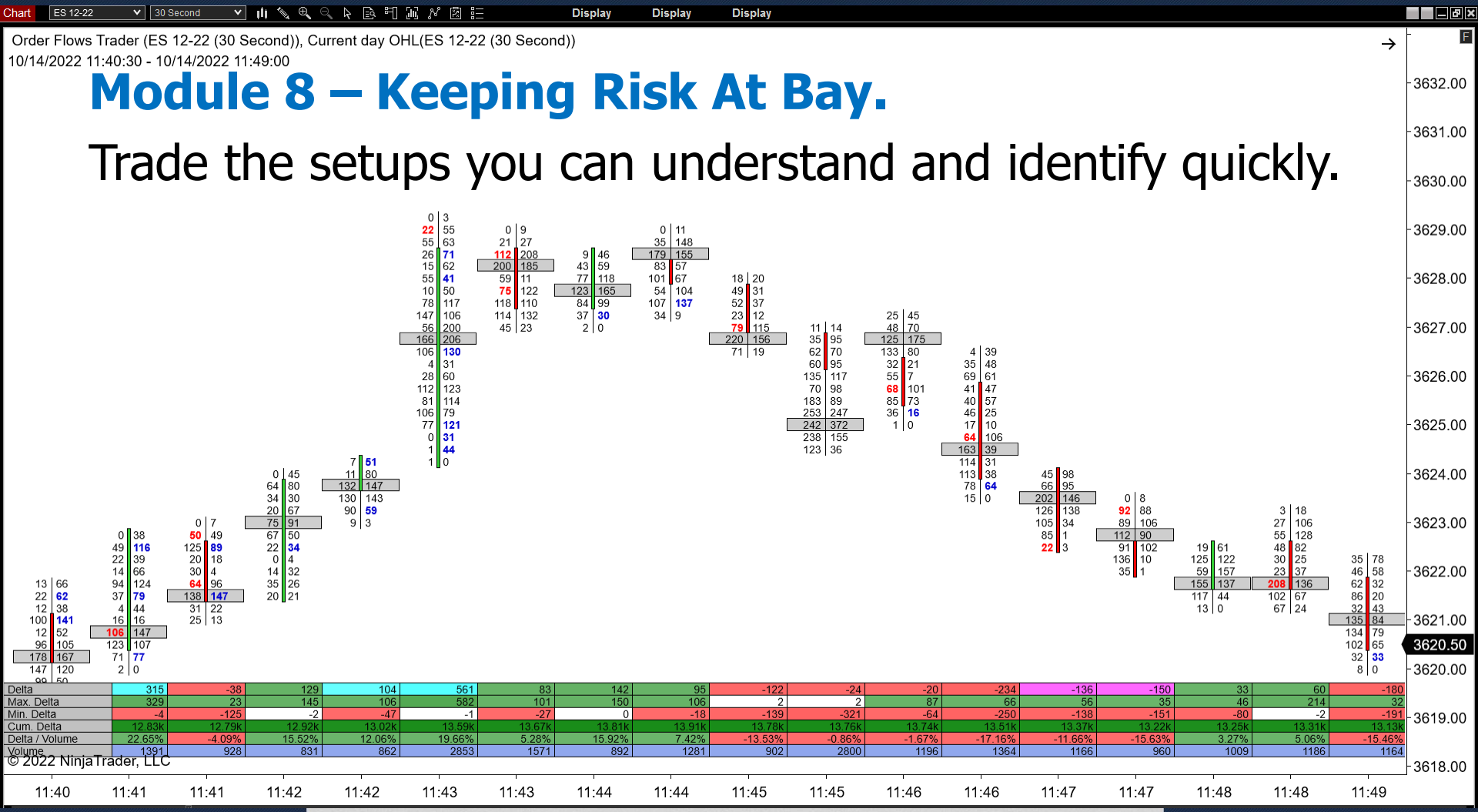
One of the most important pieces of advice for any trader is to stick to their trading style and risk management strategy. It can be tempting to try and take a few quick profits out of a fast-moving market, but this type of trading can quickly eat into your returns. Instead, it is important to stay disciplined and follow your chosen strategy. This doesn't mean that you can never deviate from your strategy, but you should only do so after careful consideration and with a clear plan in mind. If you can stick to your strategy, you will be more likely to achieve long-term success in the markets.

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Making money in the markets isn't easy. In fact, most people lose money over the long term. If you want to be a successful trader, you need to find an approach that matches your personality. Are you a risk taker? Do you have a lot of patience? These are important questions to answer. Once you know the answers, you can begin to look for a trading method that will fit your needs. Additionally, it's important to have a strong understanding of order flow and risk management. Order flow is the movement of prices based on buy and sell orders. Risk management is the process of managing your risk exposure. By understanding these two concepts, you can put yourself in a better position to succeed in the markets.

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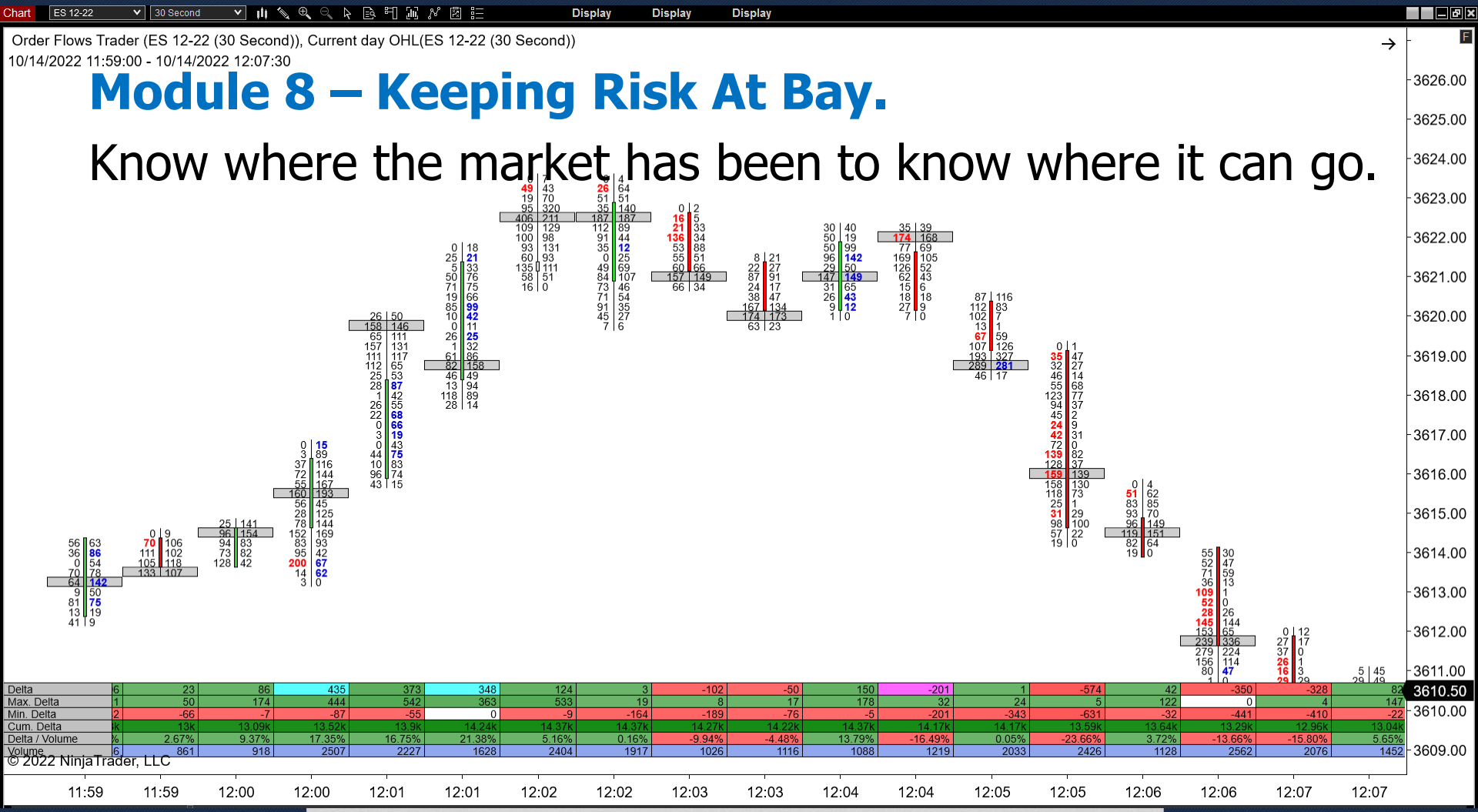


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It's important to know where the market has come from in order to identify where it might go in the future. One way to do this is to look for consolidation areas, which can act as a low-risk stop. By identifying these areas, we can limit our downside risk in case the market doesn't agree with our analysis.

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When considering where the market has potential to go, it's important to look at where it could reasonably travel to before hitting a source of supply which could act as resistance. This potential reward is based on the market's current trajectory and the distance to the nearest resistance. If the market is moving up and there is little resistance overhead, it has the potential to continue moving higher. However, if the market is already close to a major resistance level, it may have difficulty continuing its upward movement. Therefore, it's important to consider both the market's current position and the distance to potential resistance when making trading decisions.

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THIS CONCLUDES MODULE 8

In the next module, I will wrap it all up.